

Part B — Business Acumen: Prioritisation

Growth Lead Assessment · Ordering & Payment

1. THE CALL

Hypothesis: Availability is the highest-leverage first move because its failures suppress the diagnostic value of every other lever — a conversion gap between in-stock and out-of-stock sessions is the most direct evidence of where the ceiling actually sits.

Until customers can reliably reach the product, no pricing or assortment intervention compounds — and no metric cleanly tells you which one to pull next. In a market running 35–40% CPI, the Affordability argument is real; but B2B buyers absorb price pressure through renegotiation, not cart abandonment — OOS events break the purchase cycle entirely. The one override condition: if the price index shows we are already >5% off-market on top-decile SKUs, Affordability moves to P1.

Second-order effects of fixing Availability:

IMPROVES

Affordability — Promotional spend fires on products that can actually convert; no budget leaking to OOS sessions

DiFOT — Fewer last-minute substitutions at pick; fewer partial fills at last mile

Assortment — Existing SKUs earn their slot before the catalog is widened — productivity over breadth

REGRESSES

Assortment — Safety stock investment consumes the working capital and warehouse capacity that would otherwise fund new SKU onboarding

Affordability — Cash locked in inventory tightens the budget available for deep discount events

UNBLOCKED

Diagnosis — Demand-side and supply-side failures become distinguishable for the first time

DiFOT — Fulfilment failures become cleanly attributable to logistics rather than OOS — you know which problem you are solving

2. THE DATA REQUIRED

The call becomes defensible when five signals are in hand:

- **Demand-side** — Search-to-cart conversion gap between in-stock and out-of-stock sessions; this is the direct evidence that Availability is the binding constraint rather than price or assortment
- **Supply-side** — In-stock rate by SKU and node; surfaces whether the problem is structural (chronic OOS on high-velocity SKUs) or operational (node-level execution failures)
- **Competitive / Market** — Price index vs. top three competitors on the top-decile basket; this is the override condition — if we are already >5% off-market, Affordability moves to P1
- **Unit Economics** — Contribution margin per order by fulfilment path; tells us how much headroom exists to absorb the inventory investment before the availability fix becomes margin-negative
- **Customer Behaviour** — Churn cohort after first stockout event vs. first DiFOT failure; tells us whether stockouts or delivery failures are the primary trust-destroyer, and validates sequencing Availability before DiFOT

3. SEQUENCING & TRADE-OFFS

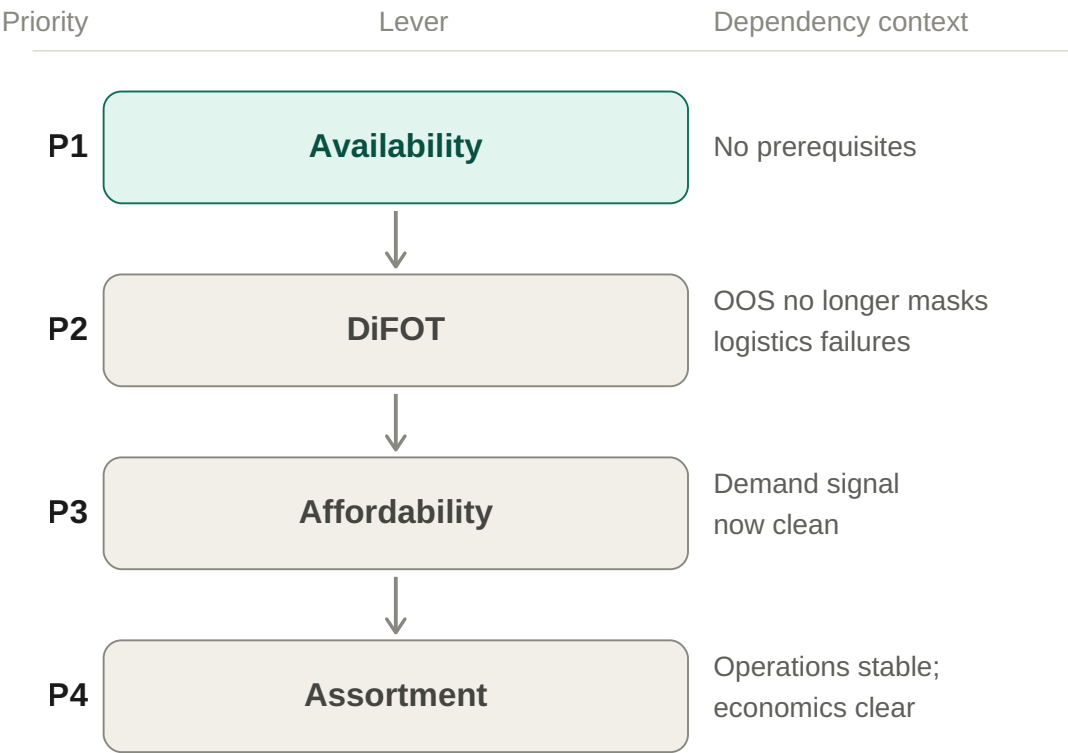
The concrete trade-off: Building safety stock on high-velocity SKUs locks the working capital and warehouse capacity that would otherwise fund new SKU onboarding — assortment breadth stalls while depth is being fixed. In the short term this is a direct cost; in the long term it is the prerequisite for catalog-led growth — SKU productivity compounds only once each slot is reliably filled.

How I would know within 30 days that I picked wrong:

- **Leading indicator** — Search-to-cart conversion gap between in-stock and out-of-stock sessions
- **Kill criterion** — If top-decile SKU availability improves by >10 percentage points but the conversion gap closes by less than 2 percentage points, Availability was not the binding constraint — pivot to Affordability
- **Override** — If the price index check shows we are already >5% off-market on the top-decile basket, stop and move Affordability to P1 immediately regardless of availability progress

Priority Matrix — Lever Sequencing by Dependency

Growth Lead Assessment · Ordering & Payment



Availability is the root node — its failures suppress the diagnostic value of all three downstream levers. Sequence reflects dependency, not importance.